



“Global players are usually hands-off after making big investments, which works for mature businesses. But for early-stage start-ups, the investor needs to play a strong role in setting up processes and standards”

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“Commitment to irrational growth rates is a challenge. When that does not happen, you start burning cash. That is when it spirals out of control and companies are tempted towards incorrect behaviour”

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into the market. The obsession for maniacal growth is a direct consequence of what is promised to the limited partners (LP) in a fund. “Private equity funds work towards delivering 14-15 per cent IRR (internal rate of return) over a five-to-seven-year period. VCs investing in India commit 17-22 per cent [IRR] for the same time period,” he adds.

So, where does the stress build up? According to him, it follows a pattern. “The VC will get the promoter to spend a lot on marketing to get more customers, since they have put in the money. You then end up doing things not necessarily in line with internal ethics,” he explains. Everything is fine till the start-up delivers. “The problem is when it fails to.”

For the VC, most often with limited time, a decision on the investment is made on the basis of comparing a start-up here to one in the US or China. As one Indian VC wryly puts it, “Paytm was ambitiously compared to Alibaba and we know what has happened since then.” Besides, the start-up’s founders, being largely techies, come with a limited understanding of finance. Top that up with an investor who can’t see beyond the top line. “Sitting in Singapore or wherever, a VC will only run roughshod over the promoter,” he says.

I AM ON MY OWN

Left alone and with little accountability, the promoter runs riot. Poor governance spirals out of control and instances of funds being siphoned and misappropriation of funds become commonplace, along with the books of accounts made to look better.

There is one other point here on compensation. As a start-up keeps its investors off its back with high growth numbers (profits rarely matter), the promoters reward themselves on salary. In the US, the thumb rule is a conservative number on salary along with massive stock options. In India, though, it is generous on both counts.

How involved the investors need to be is critical in the backdrop of how the Indian start-ups story has evolved. 3one4 Capital’s Pai thinks the larger cross-over global players are in many cases hands-off after having made the big-ticket investment. “That approach will work for mature businesses or late-stage companies that have been around for a while. But for start-ups, especially in the early phase, a lot of guidance and handholding is required, where the investor needs to play a strong role in setting up processes and standards in conjunction with the founder.”

Given the proliferation of unicorns (which often is more than what mid-caps are valued at), there is a good chance that promoters get carried away and the cases of excesses become prominent. Be it expensive cars, palatial houses or very fancy offices, the individual is in the news for the wrong reasons and, inevitably, crosses the line. One prominent VC speaks of how presentations are made over video calls and money wired right after. “It is not hard to understand why